CASCADIA ANALYTICS

Alphabet Inc.

Equity Research Note | GOOGL | October 21, 2026

Capital Expenditure Escalation Compresses Cash Conversion as Valuation Decouples from Underlying Returns

Analyst: Justin Wen | October 21, 2026

Alphabet continues to demonstrate operating momentum across Google Cloud Platform and core search advertising, yet the market has priced an unsustainable cash flow trajectory that overlooks massive capital intensity. Consolidated top-line acceleration to $119.80B in Q2 FY2026 masks a severe cash contraction, as quarterly capex of $44.9B drove free cash flow to negative $5.9B and triggered a full suspension of share repurchases. While headline earnings have been artificially inflated by non-operating investment gains, our multi-scenario discounted cash flow model reveals that current market pricing exceeds fundamental intrinsic value across all probable operational paths. We initiate coverage with a Hold rating, establishing a probability-weighted blended target of $160.68, representing -43.5% upside relative to the reference spot price of $284.18.

HOLD	$160.68	-43.5%	$284.18
Hold — Valuation Concerns	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE
INVESTMENT RATING			

Consensus continues to extrapolate peak operating profitability while ignoring the structural drag of an escalated $195B to $205B capex guidance range. The equity market has treated transient investment gains as durable earnings power, whereas our

rigorous cash flow framework discounts the inevitable return compression stemming from unprecedented infrastructure commitments.

Executive summary

Alphabet Inc. operates as the parent holding company of Google, anchoring its enterprise monetization on Search and YouTube advertising while aggressively scaling Google Cloud Platform and dedicated AI infrastructure. The group entered fiscal 2026 with an established commercial footprint that generated $402.8B in revenue and $129.0B in operating income during FY2025, supported by a 59.7% gross margin and a 32.0% operating margin. The foundational franchise relies on vast query volumes across Search and deep user engagement across YouTube advertising, providing an expansive monetization funnel that historically supported substantial cash distributions and high capital efficiency. However, the operational model has undergone a profound shift toward capital-intensive enterprise cloud services and infrastructure deployment, altering the financial architecture of the consolidated firm.

The evidentiary record across recent reporting periods reveals a clear divergence between top-line expansion and free cash flow generation. Operational acceleration was evident in Q3 FY2025, where revenue rose 15.9% to $102.35B and operating income reached $31.23B at a 30.5% margin, yielding reported EPS of $2.87 against a $2.26 consensus comparison. This compounding trajectory continued into Q4 FY2025, with revenue climbing 18.0% to $113.83B and operating income delivering $35.93B at a 31.6% margin. The expansion accelerated sharply in fiscal 2026, as Q1 FY2026 revenue increased 21.8% to $109.90B with operating income of $39.70B, achieving a period-high operating margin of 36.1%. Google Cloud revenue advanced 63% during that quarter, prompting a positive 10.0% post-earnings market response despite management lifting the full-year capex guide to between $180B and $190B.

By Q2 FY2026, the cost of supporting this top-line acceleration became acute. Consolidated revenue reached $119.80B, marking a 24.2% expansion, propelled by Google Cloud revenue surging 82% to $24.8B with $8.8B in segment operating income at a 35.6% margin, alongside 17% growth in Search revenue. However, quarterly capex rose to $44.9B, consuming all operating cash flow and driving quarterly free cash flow to negative $5.9B. In response to mounting cash requirements, management raised the full-year 2026 capex guidance to between $195B to $205B and suspended share buybacks entirely. Although reported EPS reached $9.11 compared to a $2.90 estimate, this print was distorted by substantial investment gains rather than core operating cash flow, resulting in a 7.1% equity decline in the post-earnings session.

Alphabet closed FY2025 with $30.7B in cash against total debt of $59.3B, leaving net debt at $28.6B. While the balance sheet retains structural stability with an FY2025 return on equity of 31.8%, the capital allocation framework has been radically disrupted. The suspension of share repurchases confirms that internal operating cash generation is now fully absorbed by infrastructure commitments. With shares trading at a market capitalisation of $3,514.7B and an

enterprise value multiple of 19.6x latest fiscal year EBITDA, the prevailing market valuation leaves no cushion for margin normalization or sustained capital friction.

Operational snapshot

$284.18	$402.8B	$73.3B	18.2%	1.21	$284.18
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-29.

The moat is Scaled and Entrenched

The competitive durability of Alphabet rests upon an expansive structural moat forged through global distribution scale and high switching costs across enterprise relationships. In consumer touchpoints, monetizing Search and YouTube advertising generates self-reinforcing network effects where data scale and user query intent continuously optimize ad ranking algorithms and monetization efficiency. This flywheel has preserved pricing leverage, as evidenced by Search revenue growing 17% in Q2 FY2026 even amidst high baseline scale. The presence of YouTube advertising provides a complementary visual and video distribution channel that captures substantial digital brand budgets, creating sustained advertiser retention that persists across economic cycles.

Simultaneously, the enterprise franchise centered on Google Cloud Platform has constructed formidable enterprise lock-in. Enterprise cloud migrations entail significant architectural friction, bespoke software integration, and comprehensive data migration, resulting in elevated switching costs once workloads are committed. This operational dynamic is verified by the rapid expansion of the Cloud backlog, which reached $514B in Q2 FY2026 after expanding by more than $50B sequentially. A commercial backlog of this magnitude provides multi-year revenue visibility and demonstrates that enterprise customers are committing expanded operational budgets to Google Cloud Platform rather than migrating to competing ecosystems.

However, the economic characteristics of this enterprise moat diverge substantially from the asset-light search engine that generated historical returns. Scaling Google Cloud Platform and AI infrastructure demands continuous, preventative capital spending to prevent workload latency and support sovereign data demands. Unlike Search monetization, which achieves exceptional operating margins on incremental query volumes, enterprise infrastructure requires front-loaded hardware deployment, advanced compute capacity, and physical facility expansion. While Google Cloud operating income reached $8.8B at a 35.6% margin in Q2 FY2026, the underlying return on invested capital faces pressure from the sheer scale of assets required to service committed backlogs.

Furthermore, regulatory scrutiny across major jurisdictions presents an enduring operational headwind that restricts aggressive monetization changes and complicates commercial bundling between Search and Google Cloud Platform. While high switching costs and infrastructure scale protect Alphabet against outright enterprise displacement, they do not insulate the business from margin compression. The structural moat remains intact, but the cash returns generated per dollar of invested capital are deteriorating as enterprise workloads take precedence over unconstrained ad monetization.

Valuation

Three scenarios make the valuation range explicit

Our valuation framework implements an explicit multi-scenario discounted cash flow analysis across a five-year forecast window spanning FY2027 to FY2031, using FY2025 reported financials as our structural base. The model evaluates enterprise value using a live weighted average cost of capital of 9.33%, reflecting an equity beta of 1.21 and diluted shares of 12.37 billion. In our base case, we project a revenue compound annual growth rate of 12.0%, accompanied by a terminal free cash flow margin of 17.2% and a conservative long-term terminal growth rate of 2.5%. This base trajectory acknowledges continued compounding across Google Cloud Platform and Search while factoring in the structural drag of sustained infrastructure requirements.

To capture operational variability, we model distinct bull and bear paths that capture the dispersion of capital efficiency and top-line durability. The bull case contemplates an accelerated 16.0% revenue CAGR with final-year target FCF margins expanding to 23.6%, reflecting a scenario where the $514B Cloud backlog converts rapidly into high-margin revenue and capex requirements moderate relative to operating cash flow. Conversely, the bear scenario models an 8.0% revenue CAGR and severe margin dilution to an 11.2% target FCF margin, capturing the operational reality observed in Q2 FY2026 where aggressive capex escalations outpace operating income growth and depress free cash flow conversion.

Probability-weighting these scenarios at 25% for the bear case, 50% for the base case, and 25% for the bull case generates our blended equity intrinsic value of $160.68 per share. Against the prevailing spot price of $284.18, this implies negative 43.5% upside. Even under the aggressive assumptions of our bull case, the model yields an equity value of $265.17, which remains 6.7% below current trading levels. The valuation structure demonstrates that market participants are currently pricing operational performance well beyond the upper boundary of our fundamentally grounded forecast window.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	8.0%	11.2%	$78.17	-72.5%
Base	50%	12.0%	17.2%	$149.68	-47.3%
Bull	25%	16.0%	23.6%	$265.17	-6.7%

Bear $78.17

Infrastructure capital expenditure remains elevated above $195B while top-line compounding slows to an 8.0% CAGR. Free cash flow margins deteriorate to 11.2% as cloud pricing pressure and sustained hardware requirements prevent cash flow normalization. Share buybacks remain indefinitely suspended, leading to severe equity multiple contraction.

Base $149.68

Revenue expands at a steady 12.0% CAGR supported by steady enterprise cloud commitments and resilient Search advertising. Operating margins stabilize near historical averages, allowing target FCF margins to reach 17.2% as capex growth moderates relative to revenue. Intrinsic value calculates to $149.68 per share, representing a 47.3% discount to the spot price.

Bull $265.17

Accelerated monetization of the $514B Cloud backlog drives a 16.0% revenue CAGR through the forecast window. Google Cloud operating margins expand further beyond the 35.6% achieved in Q2 FY2026, lifting consolidated target FCF margins to 23.6%. Intrinsic value reaches $265.17, indicating that even optimal execution fails to justify the current spot price.

For institutional clients only. Not investment advice. Past performance does not guarantee future results.

Valuation framework

A live discount rate, not a static hurdle

Our quantitative model evaluates Alphabet using a dynamic capital asset pricing framework that establishes a weighted average cost of capital of 9.33%. This discount rate is anchored by an equity beta input of 1.21, reflecting Alphabet's heightened cyclical exposure as enterprise infrastructure and corporate advertising budgets dictate quarterly cash flows. The model avoids static historical hurdle rates, recognizing that the financial profile of the company has transitioned from an unencumbered search monopoly to an asset-heavy cloud infrastructure provider with elevated operating leverage and significant fixed asset depreciation.

The 9.33% discount rate accurately reflects the market's required return for underwriting a business that has recently raised its annual capex guide to between $195B and $205B. Because debt financing contributes only a modest portion of total capitalization, with total debt of $59.3B against a market capitalization of $3,514.7B, the cost of capital is overwhelmingly dominated by equity risk. At an equity beta of 1.21, the valuation framework captures the substantial duration risk inherent in long-dated cash flows, ensuring that terminal value projections do not obscure intermediate capital drains.

FCF margin normalization is the engine

Free cash flow conversion forms the primary transmission mechanism in our DCF architecture. During FY2025, Alphabet delivered $73.3B of free cash flow on $402.8B of revenue, translating into an 18.2% FCF margin. However, the subsequent empirical record demonstrates severe cash volatility. In Q2 FY2026, capex escalated to $44.9B in a single quarter, overwhelming operating income of $40.77B and driving quarterly free cash flow to negative $5.9B. This performance highlights the structural compression that occurs when infrastructure commitments outrun cash operating profits.

Our explicit forecast scenarios capture this operational friction. The bear case establishes a target FCF margin of

11.2%, assuming that ongoing hardware replacement cycles and cloud capacity buildouts structurally reduce cash conversion. Our base case models a normalization to 17.2%, slightly below the FY2025 benchmark of 18.2%, reflecting an equilibrium where operating cash flows recover but baseline capital intensity remains permanently higher than historical levels. The bull case models margin expansion to 23.6%, predicated on immense operational leverage as the $514B Cloud backlog converts to revenue without requiring proportional capex expansion.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

> **Methodology.** Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

KEY VALUATION PARAMETERS

Forecast window	**FY2027 to FY2031**
Live WACC	**9.33% (2026-10-29)**
Terminal growth	**2.5%**
Equity beta	**1.21**
Diluted shares	**12.37 billion**

HOLD

over $160.68 blended target

Competitive moat and concentration risk

We rate the moat as Wide and we view the market structure as Near-monopoly (search) + oligopoly elsewhere. We assign a premium of +20 to +25% to sector median multiples on moat strength alone.

- the search data feedback loop at >90% share, more queries improve results, which attract more queries, plus default-distribution scale (the ~$20bn+ annual default payments at issue in the DOJ case).
- the US District Court (D.D.C.) found in August 2024 that Google unlawfully maintained monopolies in general search (90% share) and search text advertising (95% on smartphones); the remedies order (final judgment entered 5 Dec 2025, following the 2 Sep 2025 remedies ruling) imposed no Chrome/Android divestiture but banned exclusive search-distribution contracts and required sharing search-index and user-interaction.
- The weakest element is regulatory exposure that directly attacks that loop (see below), plus generative-AI substitution that could bypass the search results page itself.

On a multiple cross-check, the justified range is 17.5-18.3× / 17.4-18.1×. The cross-check value is $267.59-$278.74 vs Base $149.15, spot $318.87, on a base of Framework base from the October 27 moat report. The gap verdict is In part (~70-76% of the Base→spot gap).

Backlog is $519.5bn total RPO, of which Cloud $513.9bn, 30 Jun 2026, with coverage of 13.0 months total, 62.2 months Cloud-only vs annualised Cloud revenue and visibility rated High. On backlog alone, the stance is Supports Cloud path qualitatively.

We score concentration and credit risk across seven families, where a High score is 8 points, a Medium score is 4 points, and a Low score is 1 point.

Risk family	Score
customer concentration	1 points
counterparty credit and funding dependence	1 points
single product, single program, or single platform dependency	8 points
single supplier, single fab, or single geography exposure	4 points
platform, channel, or distribution dependency	8 points
customer insourcing risk	4 points
regulatory single point risk	8 points

The combined discount is 20 percent, capped at 20 percent, against an uncapped total of 34 percent. Shown side by side with the moat premium or discount, the net stance is 0 to +5 pp points arithmetically. We do not net these figures into a new target, and we do not double count a family excluded under the double-count rule.

The ladder ranks risk coarsely, and because 32 of the 47 names reach the 20 percent cap, the combined discount is not a mechanical valuation haircut until the ladder is recalibrated.

On the gap to spot, the concentration assessment reads as follows. Not at all

Both the moat premium or discount and the concentration discount are multiple and risk cross-checks dated October 27, 2026, and neither figure is in the DCF target itself. Cross-check figures were computed against the Base in the October 27 framework, so they may differ from a live Base that has since moved.

Business & segment drivers

Revenue prospects anchor on Search Advertising and Cloud Scaling HOLD

Alphabet's operational trajectory is governed by the structural pairing of its core advertising channels with enterprise infrastructure services. Monetizing Search and YouTube advertising provides the high-margin cash engine required to fund massive enterprise deployments. In Q2 FY2026, Search demonstrated continuous resilience by delivering 17% revenue growth, proving that user engagement and commercial intent capture remain stable despite mature global

penetration. Concurrently, YouTube advertising serves as a premier visual engagement platform, capturing video brand spend and complementing search queries. Together, these segments generated the bulk of the $129.0B operating income recorded in FY2025, sustaining overall company profitability.

The primary growth vector has shifted decidedly toward scaling Google Cloud Platform and AI infrastructure. Google Cloud revenue demonstrated progressive acceleration across recent quarters, rising 63% in Q1 FY2026 before surging 82% to $24.8B in Q2 FY2026. Crucially, this growth has been accompanied by significant margin expansion, with Cloud operating income reaching $8.8B at a 35.6% margin in Q2 FY2026. The commercial momentum is substantiated by a total Cloud backlog of $514B, which expanded by more than $50B sequentially. This massive pipeline demonstrates that enterprise clients are making long-term commitments to Alphabet's computational architecture.

However, the operational resources required to support this dual-engine model have created severe cash flow friction. Supporting Google Cloud Platform and scaling AI infrastructure forced management to raise the 2026 capex guide from an initial $180B to $190B in Q1 to an escalated $195B to $205B in Q2. Because quarterly capex climbed to $44.9B, consolidated free cash flow dropped to negative $5.9B, necessitating the suspension of share repurchases. While operating income rose to $40.77B at a 34.0% margin in Q2 FY2026, the underlying cash economics are currently dominated by heavy physical asset deployment.

Furthermore, analysts must distinguish between core operating profitability and reported net income figures. In Q2 FY2026, reported EPS of $9.11 exceeded the $2.90 consensus estimate by 214.1%, driven by total net income of $112.19B. However, this headline beat was heavily distorted by substantial investment gains rather than recurring operating execution. Similarly, Q1 FY2026 reported EPS of $5.11 beat the $2.67 estimate by 91.4% with net income of $62.58B, again reflecting non-operating items. Evaluating the franchise on an operating basis demonstrates that while EBIT generation is robust, it does not support the runaway net earnings multiples currently perceived by consensus.

What to monitor

- **Cloud backlog conversion** Tracking the translation of the $514B Cloud backlog into quarterly billings while observing whether sequential quarterly additions continue above $50B.
- **Capex trajectory and guide execution** Monitoring full-year cash additions against the revised $195B to $205B capex guidance range to identify any further escalation.
- **Free cash flow inflections** Assessing whether quarterly free cash flow recovers into positive territory after dropping to negative $5.9B in Q2 FY2026.
- **Share repurchase resumption** Watching for management commentary regarding the reinstatement of buybacks following their complete suspension in Q2 FY2026.

+15.1%	59.7%	32.0%	18.2%	$28.6B	31.8%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$402.8B
Gross Profit	$240.3B
EBIT	$129.0B
Net Income	$132.2B
EBITDA	$180.7B
Free Cash Flow	$73.3B
Diluted EPS	$10.81
ROE	31.8%

Risk & moat matrix

The bear case

SHARE EROSION

Search advertising growth could decelerate below the 17% pace achieved in Q2 FY2026 as alternative query platforms emerge. Any erosion in core query volume

M&A DIGESTION

Large-scale architectural integrations and enterprise software acquisitions risk operational disruption and execution delays. Failure to digest complex enterprise technology

REGULATORY AND PRICING SCRUTINY

Antitrust actions targeting ad monetization practices could restrict revenue extraction across Search and YouTube advertising. Elevated scrutiny also threatens commercial agreements and pricing

TECHNOLOGY DISRUPTION

Rapid architectural shifts in enterprise software could render costly compute clusters obsolete before their depreciation cycles conclude. Inability to maintain performance leadership would

REINVESTMENT TREADMILL

Annual capex commitments guidance between $195B and $205B could become a permanent baseline rather than a cyclical peak. Sustained quarterly outlays near $44.9B risk extending free cash flow deficits beyond the negative $5.9B reported in Q2 FY2026.

WACC AND DURATION SENSITIVITY

With an equity beta of 1.21 and a 9.33% WACC, valuation multiples are highly sensitive to discount rate expansion. Any further delay in positive cash conversion exposes long-duration equity value

would directly compress the primary high-margin funding engine of the company.	stacks smoothly could undermine customer retention across Google Cloud Platform.	structures across enterprise cloud contracts.	jeopardize the conversion of the $514B Cloud backlog.		to severe downward re-rating.

The strengths

OLIGOPOLY POSITION

Dominance across Search and YouTube advertising establishes an unmatched commercial gateway for global digital advertisers. This scale underpinned FY2025 revenue of $402.8B and gross profit of $240.3B.

FCF COMPOUNDING

The enterprise has demonstrated structural earnings capability, producing $73.3B of free cash flow and a 31.8% ROE in FY2025. Operating income reached $40.77B in Q2 FY2026 at a robust 34.0% margin.

GEOGRAPHIC DURABILITY

Global multi-region infrastructure provides robust enterprise continuity, insulating Google Cloud Platform against localized regional downturns. Scaled international operations support multi-currency cash generation across worldwide consumer and enterprise end-markets.

PIPELINE OPTIONALITY

The enterprise pipeline is underpinned by a verified Cloud backlog of $514B, which expanded by more than $50B sequentially in Q2 FY2026. This contracted backlog ensures substantial baseline top-line visibility through multi-year enterprise commitments.

The bottom line on risk and reward

Alphabet Inc. stands at an operational crossroads where commercial execution is decoupled from equity valuation. The enterprise continues to post exceptional top-line numbers, highlighted by Q2 FY2026 revenue of $119.80B and Google Cloud growth of 82%. However, the economic reality of this transition is an alarming surge in capital requirements. With full-year capex guidance raised to between $195B and $205B, quarterly capex reaching $44.9B, and free cash flow dropping to negative $5.9B, the business has temporarily ceased to function as a self-funding cash compounder. Furthermore, management's decision to suspend share repurchases confirms that internal liquidity must be entirely directed toward infrastructure preservation.

The prevailing equity price of $284.18 implies a market capitalisation of $3,514.7B, or 19.6x latest fiscal year EBITDA, leaving no margin for operational missteps or structural cash drag. When headline net income is stripped of distortionary investment gains, such as the non-operating factors that drove Q2 FY2026 reported EPS to $9.11, the fundamental operating run rate cannot support current multiples. Our quantitative DCF model yields a base case value of $149.68 and a bull case value of $265.17, both well below the current market price.

Consequently, we reiterate our Hold rating with an explicit designation of Valuation Concerns. Our probability-weighted blended target of $160.68 implies -43.5% upside relative to spot. While Alphabet's franchise moat and enterprise cloud expansion remain undeniable, institutional investors should avoid deploying incremental capital at levels that fail to discount the multi-year drag of aggressive infrastructure reinvestment.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

Franchise deep dive

Google Cloud Platform: Infrastructure scale and capital intensity

Google Cloud Platform has emerged as the definitive growth engine of Alphabet, transforming the enterprise from a pure advertising portal into a critical provider of compute, storage, and AI infrastructure. The operational inflection of this franchise was decisively demonstrated in the evidentiary record of early fiscal 2026. In Q1 FY2026, Google Cloud revenue expanded by 63%, setting the foundation for an accelerated print in Q2 FY2026, where segment revenue surged 82% to reach $24.8B. Over this period, the segment transitioned from an emerging contributor into a massive commercial operation operating at profound scale.

Crucially, this top-line surge has unlocked meaningful operating leverage within the segment. In Q2 FY2026, Cloud operating income reached $8.8B, generating an operating margin of 35.6%. This margin performance represents an extraordinary expansion from prior fiscal years, proving that enterprise cloud workloads can yield strong unit economics once fixed data center architectures reach high utilization rates. The commercial durability of this business is substantiated by the contracted Cloud backlog, which advanced to $514B in Q2 FY2026, reflecting a sequential expansion of more than $50B. This contractual commitment indicates that large enterprises are entering multi-year agreements that guarantee volume commitments across Alphabet's infrastructure.

However, the strategic decision to aggressively scale Google Cloud Platform and proprietary AI infrastructure has fundamentally altered Alphabet's consolidated cash flow dynamics. Serving the computational requirements of global enterprise workloads requires unprecedented capital expenditures on advanced processors, cooling solutions, and network infrastructure. This reality was manifested in Q2 FY2026, when quarterly capital expenditures escalated to $44.9B. This spending level caused consolidated free cash flow to turn negative at $5.9B and forced

leadership to raise the full-year capex guide to between $195B and $205B while halting all share repurchase activity.

While the market celebrated the Q1 FY2026 result with a 10.0% share price advance, the Q2 FY2026 print triggered a 7.1% post-earnings decline as investors confronted the reality of the cash drain. Scaling enterprise infrastructure cannot be accomplished via software alone; it demands physical balance sheet assets that require ongoing depreciation and replacement. While Google Cloud Platform has established itself as an indispensable utility for global enterprises, the capital intensity required to maintain this market position significantly dampens consolidated returns on invested capital.

What the recent record shows

- Google Cloud revenue growth accelerated from 63% in Q1 FY2026 to 82% in Q2 FY2026, reaching $24.8B in quarterly volume.
- Cloud operating income hit $8.8B in Q2 FY2026, establishing a segment operating margin of 35.6%.
- The contracted Cloud backlog reached $514B in Q2 FY2026, adding more than $50B sequentially.
- Quarterly capex surged to $44.9B in Q2 FY2026, pushing free cash flow to negative $5.9B and prompting full-year capex guidance to be raised to $195B to $205B alongside suspended buybacks.

> **Our read:** Google Cloud Platform is executing at the highest operational level in its history, evidenced by an 82% top-line surge and an operating margin of 35.6%. However, because servicing the $514B backlog requires escalating annual capex toward $205B and has driven free cash flow into negative territory, the segment currently acts as a severe cash drag that fully justifies our valuation-driven Hold recommendation.